MICROECONOMICS

MICRO-37

Time: 5 minutes

Outcome: Interpret Monopoly Demand, Revenue & Marginal Revenue.

Difficulty: Intermediate

Monopoly Demand, Revenue & Marginal Revenue

THE CORE IDEA

A monopolist faces the market demand curve, so selling another unit requires a lower price and makes marginal revenue less than price. A price taker sells each unit at the same price; a monopolist lowers price to expand output. Price taking removes the price effect that drives monopoly MR below price.

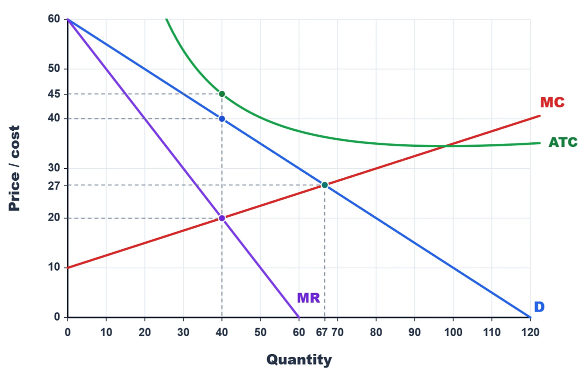
HOW TO RECOGNIZE IT

- Start with the monopolist's downward-sloping market demand curve.
- Because selling another unit requires a lower price, marginal revenue lies below demand.
- For a linear demand curve, marginal revenue shares the vertical intercept and falls twice as quickly.
- Marginal revenue is positive where demand is elastic and negative where demand is inelastic.

WATCH OUT

A common mistake is to equate mr and price. Linear MR shares demand's vertical intercept and is twice as steep. For a downward-sloping demand curve, MR is positive on the elastic portion.

WORKED EXAMPLE: WHY MR FALLS BELOW PRICE



At 40 units, the demand curve shows a price of $40, while the marginal-revenue curve shows MR of $20. Total revenue is $40 x 40 = $1,600. The gap between price and marginal revenue illustrates why a monopolist's MR lies below demand when lowering price is necessary to sell another unit.

CHECK YOURSELF

For a single-price monopolist, which curve gives price at each output?

READY? Return to the game and master this concept.